2. Countries differ in factor endowments.
3. Commodities are categorized in terms of factor intensity.
4. Countries use same production technology.
5. Countries have identical demand conditions.
6. There is perfect competition in both product and factor markets in both the countries.

Heckscher - Ohlin (H-O) theorem

(H-O theorem)

"A capital abundant country will export the capital - intensive good, while the labor - abundant country will export the labor - intensive good."

Factor

Factor proportions model which links exports and imports to factor endowments.

Exports

A country exports those commodities produced with relatively large quantities of the country's relatively abundant factor.

Explanation

According to Heckscher - Ohlin, "a capital-abundant country will export the capital –intensive goods, while the labour-abundant country will export the labour-intensive goods". A factor is regarded abundant or scare in relation to the quantum of other factors. A country can be regarded as richly endowed with capital only if the ratio of capital to other factors is higher than other countries.

Illustration

Particulars	India	America
Supply of Labour	50	24
Supply of Capital	40	30
Capital-Labour Ratio	40/50 = 0.8	30/24 = 1.25

In the above example, even though India has more capital in absolute terms, America is more richly endowed with capital because the ratio of capital in India is 0.8 which is less than that in America where it is 1.25. The following diagram illustrates the pattern of word trade.



12-Economics-Chapter_7.indd 131 2/6/2020 12:24:00 PM